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# So, someone told you to get a 409A valuation...

(A guide to getting it right the first time)





If you're reading this, you've probably been advised to get a 409A valuation for your company. But what is it, how do you do it right, and what happens if you don't? A 409A valuation sets the fair market value of your company's common stock, and it plays a bigger role than you might think.

It may feel daunting, but the good news is that a proper 409A valuation can likely give you safe harbor protection, shifting the burden of proof off your company onto the IRS. This guide breaks down the who, what, when, and why so founders can approach the process with more clarity and confidence.

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A photograph of three women in a professional setting. On the left, a woman with short dark hair and glasses is speaking. In the center, an older woman with short grey hair is drinking from a white cup. On the right, a woman with long brown hair is listening. They are all dressed in business casual attire.

## What is a 409A Valuation?

A [409A Valuation](#) is the assessment of the fair market value (FMV) of your company's stock, required for tax compliance. And while that may sound straightforward, 409A valuations are often clouded by misconceptions — like that they can be generated in just a few days, or that they represent the overall value of the company.

It's also important to note that 409A is not the same as fundraising valuation. Investors may set a price for preferred stock during a financing round, but a 409A valuation establishes the FMV of common stock for option grants. The two serve very different purposes, which is why the numbers rarely align.

## Why you need a 409A Valuation

Having a 409A Valuation can support your business in a variety of ways, such as:

**IRS Compliance** — Keep your equity grants compliant with Internal Revenue Service (IRS) regulations. Without it, option holders could face severe tax penalties like immediate taxation, interest charges, and a 20% penalty.

**Avoiding Tax Penalties** — Helps companies avoid tax penalties, including immediate taxation of deferred compensation, interest accrual on taxable amounts, and additional taxes on deferred compensation. Noncompliance can result in costly disputes with the IRS that derail growth plans.

**Investor Confidence** — Enhances investor confidence by providing a more clear picture of the company's financial health and value. A sloppy or outdated valuation can raise red flags in due diligence and slow a funding round.

**Mergers and Acquisitions** — Allows for more seamless negotiations and transactions in the event of a merger, acquisition, or IPO. Without it, you may risk deal delays, renegotiations, or lower valuations at exit.

**Legal and Financial Diligence** — Can protect a company's financial integrity and legal standing by preventing under- or over-valuation of its stock. Inaccurate valuations can trigger audit challenges, legal disputes, or renegotiated deal terms during fundraising or an acquisition.

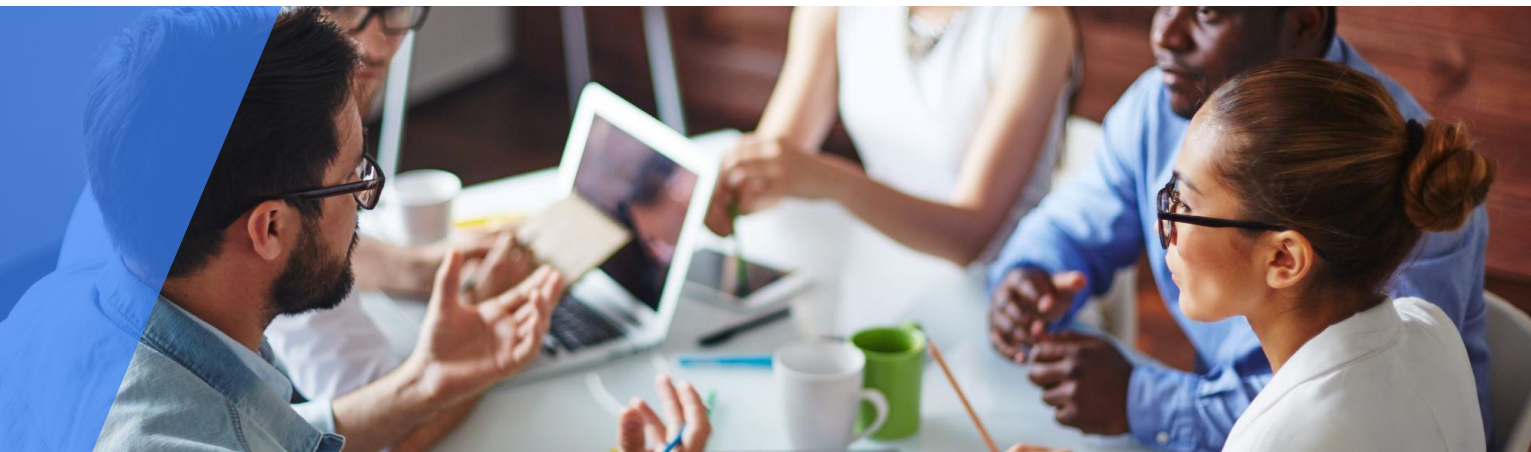
**Equity Compensation** — Determines the fair market value of a company's common stock, which is used for pricing employee stock options and other equity-based compensation plans. If your valuation is off, employees may hesitate to exercise or could be hit with unexpected tax bills.

**Employee Recruitment and Retention** — Can provide competitive equity packages to attract top talent, as 409A valuations help companies offer compelling stock options. If strike prices are inflated, employees may see less upside and competitors' offers become more attractive.

A defensible 409A valuation is more than a compliance requirement. It helps safeguard your company from penalties and builds credibility with investors, employees, and future acquirers.



# When do you need a 409A valuation?



## Your business should begin the process of obtaining an initial or new 409A valuation:

- Before granting your initial common stock options.
- Following the completion of a venture financing round.
- When you're nearing an IPO, merger, or acquisition.
- On an annual basis (12 months) or following a **material event**, which could include:
  - The addition, loss, or modification of a significant contract that materially affects annual recurring revenue (ARR).
  - Any substantial acquisition, whether your company is the purchaser or the seller.
  - Receipt of a term sheet from a prospective acquirer.
  - The formation of a strategic partnership expected to expand into new markets or enhance profitability.
  - Regulatory alterations that considerably expand or contract your potential market.

# What you need to obtain a 409A Valuation

Below, you can find a handy checklist of all the information you'll need to complete a 409A valuation.

## Anatomy of a 409A Valuation

|                                    |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |
|------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Company and industry details       | <ul style="list-style-type: none"><li>• CEO name</li><li>• Legal counsel's name</li><li>• Amended and restated articles of incorporation</li><li>• If applicable, external audit firm name</li><li>• Industry and comparable public companies</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |
| Company financials and fundraising | <ul style="list-style-type: none"><li>• Historical financial statements</li><li>• Forecasted revenue for the upcoming 12 months, spanning from the valuation date to the subsequent two calendar years</li><li>• Forecasted EBITDA (earnings before interest, taxes, depreciation, and amortization) for the upcoming 12 months, from the valuation date to the subsequent two calendar years</li><li>• Cash burn rate and runway</li><li>• Amount of non-convertible debt</li><li>• Expected timing of a liquidity event</li><li>• Company presentation, business plan, or executive summary</li><li>• Past 409A reports &amp; other valuations, state why previous reports matter but don't determine your current FMV and explain variability</li><li>• Discussion-ready draft complete with prepared questions</li></ul> |

## Common 409A valuation methodologies

There are multiple ways you can go about gaining a 409A valuation. The three primary methodologies are the Income Approach, Market Approach, and Asset Approach.

### Income Approach

The Income Approach is typically suitable for companies with substantial revenue and positive cash flow. It calculates a company's value based on its expected future cash flows, considering associated risks.

### Market Approach (OPM backsolve)

When a company undergoes a financing round, valuation providers often utilize the option pricing model (OPM) backsolve method.

The Market approach assumes that new investors paid a fair market value for equity, although they receive preferred stock. Adjustments are made to determine the FMV for common stock.

Other market-based methods involve analyzing financial data from comparable public companies, such as revenue, net income, and EBITDA (earnings before interest, taxes, depreciation, and amortization), to estimate the company's equity value.

### Asset Approach

The Asset Approach commonly applies to early-stage companies that have not raised capital and do not generate revenue. This methodology assesses a company's net asset value to establish an appropriate valuation.

# One-Click Valuations

Some providers — including some cap table platforms — have recently begun offering One-Click valuations. These typically rely solely on algorithms and internal formulas, skipping qualitative factors like your competitive landscape, leadership team, and recent business developments. While convenient, One-Click valuations may carry risk: without that context, the result may not be defensible in an audit or due diligence process.

There can also be a built-in incentive problem: when a cap table provider conducts its own assessment, it may keep valuations artificially low to please customers. Even when founders pay a valuation provider directly, the same pressure can apply. That might not be questioned at first, but if auditors reject the report, companies can end up spending thousands more on rework and a new 409A.

By contrast, having your cap table provider connect you with an independent third-party valuation vendor helps ensure your valuation is unbiased, accurate, and defensible.

## Why FMV changes year-to-year, even when you haven't

It can be surprising to see your fair market value (FMV) shift from one 409A report to the next, especially if nothing about your company feels different. But a repeat valuation isn't a re-assessment of your management or strategy. **It's a reflection of changed inputs.**

Even if your internal facts remain steady, factors outside your control can move the number:

- **Market Comparables:** If peer companies are trading higher or lower, your FMV will likely adjust accordingly.
- **Investor Pricing:** Terms and Valuations in recent financings can shift benchmarks for common stock.
- **Macro Conditions:** Broader market cycles, interest rates, or regulatory changes can all influence fair value.

That's why two different reports on the same company can coexist. Different providers may draw from different comps, data points, or timing, and that can lead to variations in the outcome.

How to approach repeat valuations:

- **Bring prior reports:** Your valuation provider will review them, but won't simply copy last year's conclusions
- **Ask about differences:** Request an explanation of any material changes in assumptions, such as comps, discounts, or growth forecasts.

A different FMV from last year is normal. What matters is that your valuation is supported by defensible methodology and thorough documentation. These qualities can give you a better likelihood of IRS safe harbor protection and confidence with investors.

# Common 409A Misconceptions



Even experienced founders and operators can run into confusion when it comes to 409A valuations. Misunderstandings about what a 409A is, and what it isn't, can create costly mistakes down the road. Here are five of the most common misconceptions to watch out for:

## **Misconception 1: A 409A is the same as a company valuation**

**Correction:** A 409A determines the fair market value (FMV) of common stock for tax compliance. It is not the same as the valuation investors set in a financing round. Preferred stock carries rights and preferences that common stock doesn't, which is why the numbers rarely match.

**Why it matters:** Treating a 409A like a fundraising valuation can tempt founders to push for a higher number, but that works against the goal of setting fair, compliant option strike prices for employees. For a deeper dive, see [What is a 409A valuation and why does it matter?](#)

## **Misconception 2: Common stock FMV should always be 10–20% of preferred stock**

**Correction:** While this “rule of thumb” is often repeated, it oversimplifies reality. The actual discount from preferred to common varies based on capital structure, liquidation preferences, and market conditions. In some cases, common stock FMV can be significantly higher (or lower) than 10–20%.

**Why it matters:** Relying on a ballpark percentage can set unrealistic expectations and increase the risk of under-valuation that won't hold up with auditors or the IRS.

# Common 409A Misconceptions

## **Misconception 3: A 409A only takes a few days to generate**

**Correction:** Algorithmic or purely quantitative approaches can return a number quickly, sometimes in 1-3 days, but they skip the qualitative analysis that makes a valuation defensible. A proper 409A that includes review of your financials, market comparables, and business context typically takes 2–4 weeks.

**Why it matters:** A quick number may help in the moment, but if it doesn't stand up to investor or IRS scrutiny, you may end up paying for a costly second valuation and losing time when you need it most.

## **Misconception 4: All valuation reports should match**

**Correction:** Two providers may produce different FMVs even if company facts haven't changed. Differences in comparables, market timing, or assumptions can lead to different outcomes.

**Why it matters:** Variation is normal. What matters isn't matching the prior report, it's whether the methodology is transparent, defensible, and well-documented.

## **Misconception 5: Lower cash automatically means lower FMV**

**Correction:** Cash runway is only one input in a 409A valuation. Other factors — such as growth, projections, revenue quality, or investor activity — also influence FMV.

**Why it matters:** Overemphasizing a single factor can distort your valuation and create compliance risks if the broader context isn't considered.

## **Misconceptions vs. Reality**

Misconceptions about 409A valuations often come from the appeal of convenience. But convenience alone doesn't make a valuation audit-ready. A defensible valuation depends on a balanced analysis of quantitative and qualitative data, documentation, and independence.

Reach out to the team to get started on obtaining a 409A valuation

>> ***With Fidelity Private Shares you don't have to choose between fast and defensible. We connect you with vetted, independent providers who can turn reports around quickly while still meeting audit ready standards. [Book a consultation today to learn more.](#)***



# 409A Penalties

In the event the IRS ever challenges your valuation, safe harbor protection shifts the burden to them. Generally, a valuation is presumed valid if IRS guidelines are followed and prepared by a qualified third-party appraiser. The IRS can challenge it to prove it was grossly unreasonable, which is a very high standard.

If your 409A valuation is provided by an inexperienced or One-Click provider, you may end up with an inaccurate or non-compliant report that won't stand up in front of auditors or investors. To help avoid these issues, consider avoiding vendors who cut corners, such as those that rely solely on your business' cap table without additional context.

## Repercussions of 409A Noncompliance

Without IRS-approved safe harbor status thanks to a non-compliant 409A valuation, the IRS can impose significant cost on your business, including:

- Immediate taxation of deferred compensation from current and prior years.
- Accrual of interest on the revised taxable amount.
- Additional 20% tax on deferred compensation.

While startups may initially avoid IRS audits, growth and significant events like fundraising rounds, mergers, or IPOs often increase audit risk. Working with a reputable independent valuation provider from the beginning helps ensure your valuation is defensible and audit-ready.

## What to watch out for in your 409A valuation

As the process for gaining a 409A valuation can often be complex, there are several opportunities to make mistakes. And while these mistakes can easily go unnoticed, many can bring long-standing consequences.

Please note that this list is not comprehensive and may not encompass all potential mistakes and preventions for 409A valuations:

### 1. Overlooking changes in your company's financial condition

Any shift in revenue, business model, or market position can affect your business valuation, even if nothing else seems different.



**Risk:** Failure to consider significant changes can make your fair market value outdated or less defensible in an audit or due diligence process.

**Prevention:** Stay up-to-date and track your financial performance, material changes, and adjust your assumptions as needed.

## 2. Neglecting the impact of employee stock options

Employee stock options are an important part of your equity picture and must be accurately valued to comply with 409A rules.

**Risk:** Mispriced options can create unexpected tax consequences for your team and may complicate fundraising or future valuations.

**Prevention:** Model both vested and unvested options carefully and use appropriate pricing methods.

## 3. Ignoring company-specific factors

Your company's unique attributes — like your leadership team, intellectual property, and competitive positioning — can significantly influence the valuation.

**Risk:** Leaving out these factors may undervalue your company and fail to reflect its true potential.

**Prevention:** Include qualitative context and any recent strategic developments when reviewing your valuation.

## 4. Skipping recent market transactions

Deals and valuations from similar companies provide useful benchmarks for your own fair market value.

**Risk:** Skipping this step can result in a valuation that doesn't align with market expectations, potentially raising red flags with investors or auditors.

**Prevention:** Reference recent transactions and comparable companies to validate your assumptions.



## Inconsistent Valuation Methods

Applying different valuation methods across funding rounds or reports without clear reasoning can be confusing.

**Risk:** Inconsistent methods can raise questions from investors or auditors and reduce

**Prevention:** Maintain consistent approaches and clearly explain any changes in methodology.

## 5. Relying solely on internal valuation experts

Internal expertise is valuable, but independent review can add credibility and objectivity.

**Risk:** Valuations performed only internally may appear biased and could be challenged by auditors or investors.

**Prevention:** Engage a trusted third-party expert to provide a balanced, defensible assessment.

## 6. Failing to consider illiquidity

Private company stock is less liquid than publicly traded shares, and this should be factored into your valuation.

**Risk:** Ignoring illiquidity can inflate your FMV and create higher tax exposure for your employees.

**Prevention:** Apply accepted marketability discounts and adjust for liquidity limitations.

# In-House One-Click Valuation vs. Third-Party Audit-Ready Valuations

**Why it matters:** The choice of methodology doesn't just affect your timeline — it affects the credibility of your company's equity story.

- **Independence and defensibility:** When a cap table platform runs its own in-house algorithm, it can be incentivized to keep valuations artificially low. That may look favorable at first, but it raises the risk of auditor rejection and costly rework.
- **Safe harbor protection:** IRS safe harbor only applies when the valuation follows a credible methodology and is thoroughly documented. Algorithms rarely provide the narrative or assumptions needed to qualify, leaving you exposed to penalties and challenges down the line.
- **Real-world consequences:** Founders who rely on algorithmic reports often end up paying twice: once for the “quick” report, and again for a proper 409A after investors or auditors demand one. In the meantime, stock option grants may be delayed, employees left waiting, and board confidence strained.

**The Fidelity Advantage:** With Fidelity Private Shares, **you don't have to choose between speed and defensibility:**

- We pair you with independent third-party providers, eliminating conflicts of interest
- Our partners deliver audit-ready valuations that qualify for safe harbor
- You get the right balance of fast turnaround and rigorous methodology so option grants and fundraising stay on track

**What to look for in a 409A provider**

- Before you commit, especially to an algorithmic vendor, check whether the provider:  
Offers draft review and an opportunity to ask questions before finalizing
- Conducts a qualitative interview to capture your company's market position, team, and business model
- Provides detailed assumptions and comparables that explain how the number was reached

If these steps are not a part of the process, the report may not be audit-ready — and you could end up paying for a second 409A valuation later.

**The Bottom Line:** Choosing an algorithmic valuation may save a few days up front, but it can cost far more if auditors, investors, or the IRS question the results. With Fidelity Private Shares, **you don't have to choose between speed and defensibility — our vetted providers deliver both.**





# Discussing the draft: How to review & what to ask



When you get a draft 409A report, don't treat it as a finished product. The draft stage is your chance to pressure-test the assumptions, ask questions, and make sure the valuation reflects your company's reality. This step can help build defensibility.

Here are five smart questions to bring to the review:

1. What comparables have changed since the last valuation?
2. What discount or cap table adjustments drove the change?
3. How did you treat vested vs. unvested options?
4. What assumptions about cash runway and fundraising were used?
5. Which three sensitivity assumptions would most materially change the FMV?

And remember, questions aren't a hassle. They're how a 409A goes from a number to a report you can stand behind.

Providers expect these questions, and a reputable third party will walk you through their answers. The goal isn't to challenge the number, it's to ensure the methodology is transparent and the final report is audit ready.

## How to get started with your 409A valuation

A 409A valuation doesn't have to be overwhelming. With the right process in place, you can help ensure IRC 409A valuation requirement compliance, reduce risk, and stay prepared for audits or investor diligence.

Here's how the process works with Fidelity Private Shares:

- **Select the right plan:** [Talk with our team](#) to choose the subscription that fits your company's stage. Many plans include the cost of a 409A valuation. The platform streamlines document collection so you spend less time chasing files and more time running your business.
- **Get connected to a vetted provider:** We'll introduce you to an independent third-party valuation expert who conducts the appraisal and remains available to walk through assumptions and methodology.





- **Review the draft:** You'll have the opportunity to review the draft, ask questions, and finalize the report with guidance from both your provider and Fidelity's team. Once complete, a board resolution will be issued to accept the fair market value (FMV).
- **Store and stay on track:** Your final report and board resolution are stored in the platform, with reminders built in so you're prepared for the next required valuation.

**Note:** If you ever use an algorithmic provider, confirm they'll supply full documentation and a narrative suitable for audit. Without it, you may end up paying for a second valuation.

**At every step, Fidelity support can help save you from costly mistakes, so your valuation is not only audit-ready but also investor-ready.**

A more simple and quick process – with unparalleled support

1. [Talk to our team](#) to get started with the subscription that fits your needs.
2. Get your independent 409A valuation report from one of our vetted providers and discuss the results with them.
3. Our platform will generate a board resolution to accept the fair market value (FMV) as defined in the 409A Valuation Report.
4. Plus: Everything is generated and captured on the platform.



Fidelity Private Shares®

**Fidelity**

Talk to our team to get started.

STARTUP

SCALING

PRE-IPO

EXIT

PUBLIC

Fidelity Private Shares LLC provides cap table management and other administrative services to private companies and their equity compensation plans. 409A valuations are conducted by a third party.

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